

Wearables and Habits: Synthetic Control Estimates

Issue #9

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1 Summary

Exploratory unit-level synthetic control of first wearable purchase on running-related purchases, as an alternative to the staggered DiD of #7 (which fails on pre-trends). **Balanced panel only**, and each adopter’s synthetic twin is matched on outcome history, purchase intensity, category mix and survey demographics (Section 2).

- **Running-related purchasing rises modestly, but so does everything else.** Post ATT (quarters 1– L): running-related +0.046 (0.017) with $L = 8$ (113 adopters) and +0.039 (0.013) with $L = 6$ (242); running shoes +0.016 (0.012) and +0.013 (0.008); supplements +0.066 (0.025) and +0.050 (0.017); fitness gear and medication are within about 1.5 SE of zero.
- **Non-running outcomes move too.** Books +0.042 (0.023) / +0.040 (0.016), grocery +0.040 / +0.010, pet +0.035 / +0.020, and total purchases $\ln(1+n)$ +0.264 (0.054) / +0.205 (0.040). Adopters buy more overall than their twins after adoption, and the running-related gain is of the same size as the books placebo, so it cannot be attributed to running specifically.
- **Pre-fit and balance.** Pre-period gaps are about zero (Figures 1, 2), so the pre-trend problem of #7 is absorbed by the twin. Category shares and most demographics are close to the adopters’ (Table 3); the exceptions are pre-period $\ln$ spend (8.22 vs 8.07 synthetic) and income band (2.89 vs 2.72).
- **Pseudo-adopter placebo** (random never-treated users given real adoption dates) is about zero for nearly all outcomes (largest: pet +0.034 at $L = 8$, supplements -0.027 at $L = 6$).
- **Relation to earlier runs and #7.** A preliminary unbalanced-panel run (outcome-only matching, 288 adopters; kept in `synth_summary*.csv`) gave larger gaps (running-related +0.070). The DiD of #7 gave small *negative* estimates, so the methods still disagree in sign. A plausible common driver is selection of adopters on a purchase in $e = 0$ and on ≥ 12 months of later activity, which donors are not selected on; this predicts positive gaps for all outcomes. Not tested.

2 Design

- **Balanced sample:** “clean” sample users observed in every quarter 2018Q1–2022Q4 (2,764 users). Adopters must have the full window $g - L, \dots, g + L$ inside 2018Q1–2022Q4: $L = 8$ gives adoption in 2020 (113 adopters), $L = 6$ in 2019Q3–2021Q2 (242). Donors: balanced never-treated users (2,392). No unobserved quarters, so donors are never dropped in the post-period.

- **What is matched** (donors and adopter use the same calendar pre-window $g - L, \dots, g - 1$), four blocks, each column standardized by the donor-pool SD and scaled so a block’s total weight is:
 1. weight 2: the studied outcome (any purchase in the quarter) in each pre-quarter;
 2. weight 1: $\ln(1 + \text{purchases})$ in each pre-quarter (omitted when it is the outcome);
 3. weight 1: pre-window category mix, the share of purchases in running-related, fitness gear, supplements, medication, pet, books, gift cards, cables/batteries, cleaning and grocery, plus $\ln(1 + \text{totalspend})$;
 4. weight 1: survey demographics: age band, income band, household size, female, college, white, diabetes, smoker, alcohol, and a survey-missing flag (mean-imputed as in #7).
- **Weights:** non-negative, sum to one, least squares over the 150 nearest donors (distance on the same standardized predictors). With four blocks the fit is a compromise, so pre-RMSE on the outcome is larger than with outcome-only matching.
- **Effects:** gap = adopter minus synthetic, $e = -L, \dots, L$ ($e = 0$ the adoption quarter); ATT_e = mean over adopters; SE = cross-adopter SD/ $\sqrt{n}$ (ignores weight estimation error). Post ATT = mean over $e = 1, \dots, L$. Placebo: as many never-treated users as adopters get randomly drawn real adoption quarters and are run against the remaining donors.
- **Code:** `code/scripts/synth_control_balanced.py` (argument L) and `synth_control_balanced_figs.py`.

3 Results

Table 1: Balanced synthetic control, $L = 8$ (113 adopters). Pre RMSE = RMS adopter-minus-synthetic gap in the pre-period / RMS outcome level.

Outcome	Post ATT (SE)	Placebo (SE)	N	Pre RMSE / level
Running shoe	0.016 (0.012)	0.001 (0.005)	113	0.017 / 0.102
Running-related (keyword)	0.046 (0.017)	0.001 (0.014)	113	0.050 / 0.278
Fitness gear	0.015 (0.013)	0.004 (0.013)	113	0.027 / 0.190
Supplements	0.066 (0.025)	0.017 (0.022)	113	0.079 / 0.366
Medication	0.034 (0.020)	0.011 (0.018)	113	0.034 / 0.208
PLACEBO: pet	0.035 (0.022)	0.034 (0.023)	113	0.074 / 0.401
PLACEBO: books	0.042 (0.023)	-0.001 (0.021)	113	0.111 / 0.588
PLACEBO: grocery/food	0.040 (0.022)	0.011 (0.023)	113	0.050 / 0.266
General: $\ln(1 + \# \text{purchases})$	0.264 (0.054)	-0.003 (0.062)	113	0.280 / 2.939

4 Caveats and follow-ups

- Balanced sample means long-lived, early-start users and adopters in a narrow calendar window (2020 for $L = 8$), so results are not comparable to #7’s 447.
- Follow-ups (not done): hold-out pre-period fit; synthetic DiD / augmented SC; pseudo-adopters selected on an $e = 0$ purchase; not-yet-treated donors; tuning predictor block weights.

Table 2: Balanced synthetic control, $L = 6$ (242 adopters).

Outcome	Post ATT (SE)	Placebo (SE)	N	Pre RMSE / level
Running shoe	0.013 (0.008)	-0.009 (0.005)	242	0.007 / 0.080
Running-related (keyword)	0.039 (0.013)	0.000 (0.011)	242	0.030 / 0.253
Fitness gear	0.019 (0.010)	0.010 (0.009)	242	0.017 / 0.174
Supplements	0.050 (0.017)	-0.027 (0.015)	242	0.053 / 0.365
Medication	-0.007 (0.013)	0.006 (0.014)	242	0.023 / 0.212
PLACEBO: pet	0.020 (0.015)	-0.005 (0.018)	242	0.048 / 0.378
PLACEBO: books	0.040 (0.016)	0.015 (0.016)	242	0.087 / 0.570
PLACEBO: grocery/food	0.010 (0.017)	0.020 (0.017)	242	0.035 / 0.274
General: $\ln(1+\text{\#purchases})$	0.205 (0.040)	0.008 (0.043)	242	0.230 / 3.016

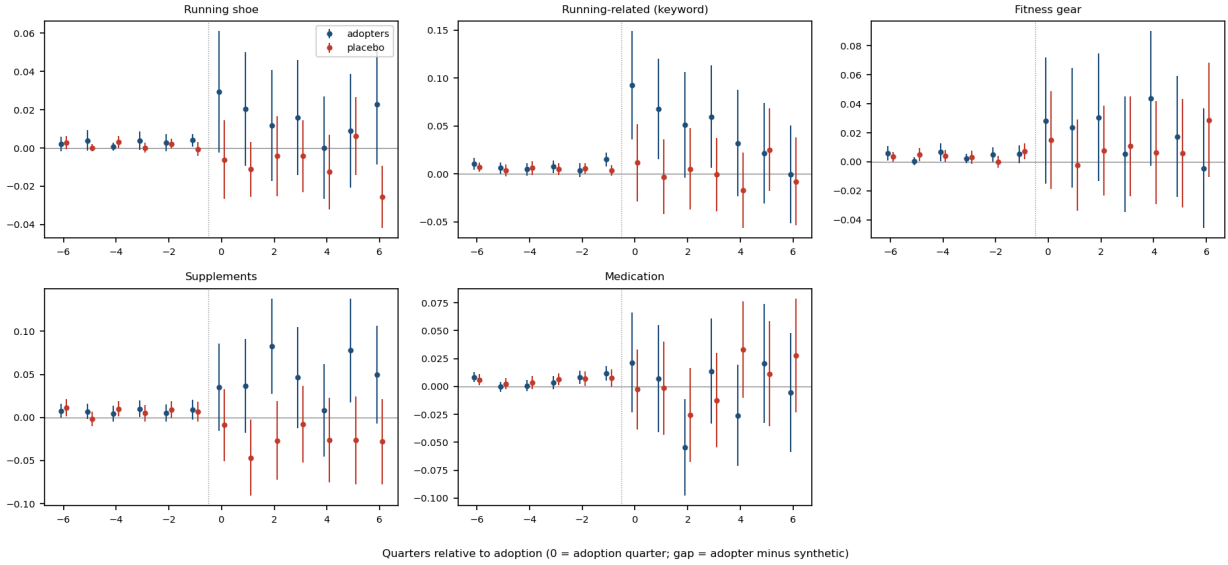


Figure 1: Event-study gaps, main outcomes, $L = 6$ (blue adopters, red pseudo-adopter placebo; 95% CIs). $L = 8$: synth_bal_es_main_L8.png.

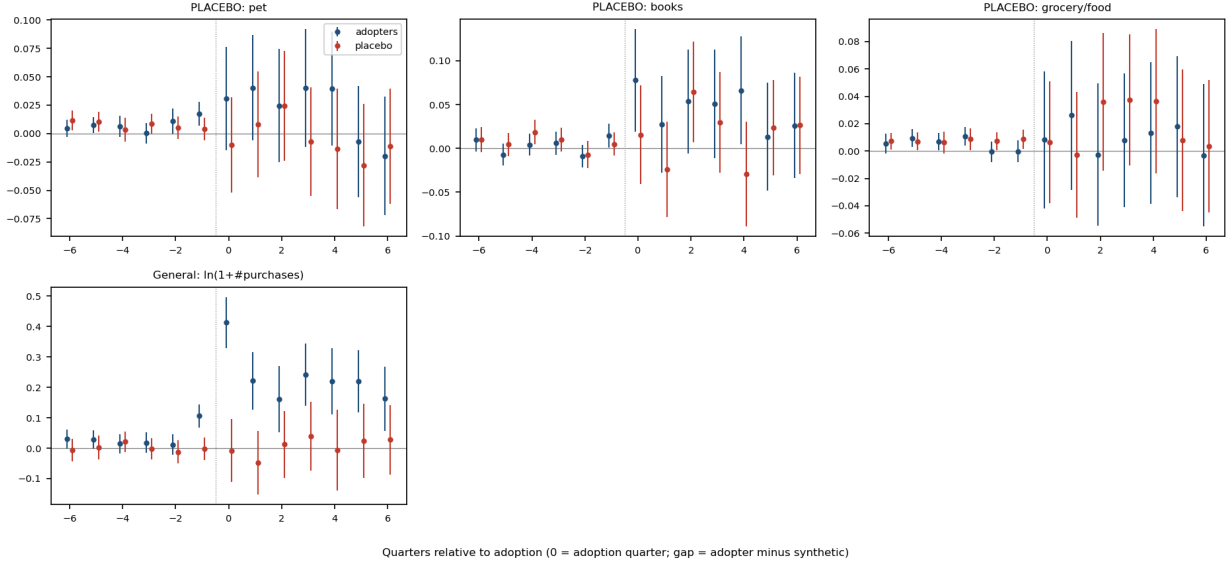


Figure 2: Same, placebo and general-intensity outcomes.

Table 3: Covariate balance, $L = 8$, running-related fit: average adopter, synthetic twin and raw donor pool.

Variable	Adopters	Synthetic	Donor pool
share: run_any	0.009	0.009	0.006
share: fit_gear	0.004	0.004	0.004
share: supp	0.017	0.018	0.019
share: med	0.006	0.006	0.006
share: pet	0.028	0.027	0.023
share: book	0.066	0.067	0.071
share: giftcard	0.015	0.019	0.024
share: cable	0.024	0.024	0.023
share: cleaning	0.004	0.004	0.004
share: grocery	0.012	0.015	0.014
ln spend (pre)	8.216	8.069	7.500
age	1.841	1.950	1.888
inc	2.885	2.720	2.321
hh	2.619	2.547	2.399
female	0.513	0.534	0.531
college	0.743	0.715	0.659
white	0.867	0.863	0.801
diab	0.081	0.096	0.126
smoke	0.090	0.104	0.127
alc	0.438	0.470	0.460
svy_miss	0.009	0.005	0.018